Deepak Fertilisers & Petrochemicals Corporation Ltd

NSE: DEEPAKFERT | BSE: 500645 | Sector: Chemicals / Fertilisers | Sub-sector: Mining Chemicals & Crop Nutrition

TAN capacity doubling to 1 MTPA unlocks volume-driven re-rating as India mining boom accelerates

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 1,850**	**+22.7%**
CMP: Rs. 1,508	12-month horizon	from CMP

Market Cap	**Rs. 19,040 Cr**	CMP (15 Jun 2026)	**Rs. 1,508**
52-Week High / Low	**Rs. 1,779 / 865**	Face Value	**Rs. 10**
Stock P/E (TTM)	**25.8x**	Book Value / Share	**Rs. 542**
ROCE (FY26)	**11.6%**	ROE (FY26)	**11.3%**
Dividend Yield	**0.66%**	Promoter Holding	**45.63%**
FII Holding	**10.31%**	DII Holding	**13.24%**
Net Debt (FY26)	**Rs. ~5,537 Cr**	D/E Ratio (FY26)	**~1.3x**
FY27E EPS	**Rs. 93.0**	FY27E P/E	**16.2x**

Investment Horizon: 18-24 months

Report Date: 15 June 2026 | **Analyst:** Institutional Equity Research Desk

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. All data sourced from Screener.in (consolidated), NSE disclosures, and company press releases. Estimates are analyst projections, not company guidance.

2. INVESTMENT THESIS

- **TAN capacity doubling creates a structural earnings step-change:** Deepak Fertilisers is commissioning a 376 KTPA TAN plant at Gopalpur (Odisha), lifting total TAN capacity from ~624 KTPA to 1 MTPA by end-FY27. This is not incremental — it nearly doubles addressable production in India's only domestically manufactured explosives-grade ammonium nitrate segment, where DFPCL commands ~40% market share. At 80% utilisation, incremental EBITDA contribution is estimated at Rs. 600-750 Cr, representing 36-45% uplift to FY26 EBITDA.

- **Integrated ammonia + nitric acid stack insulates margins:** DFPCL's 1,500 MTPD ammonia plant (commissioned FY23) and new 300 KTPA weak + 150 KTPA concentrated nitric acid plant (Dahej, ~86% complete, Q2 FY27 commissioning) eliminate the largest raw-material cost variability. With an Equinor

LNG contract now live (May 2026) at competitive gas costs, the breakeven EBITDA for the ammonia unit is expected to fall materially, while the nitric acid plant feeds both TAN and industrial-chemical customers at captive cost.

• **B2C TAN and specialty fertilisers are structural margin-mix improvers:** B2C TAN revenue share has expanded to 16% (from 13% in FY24), commanding meaningfully higher realisations than bulk B2B. The Mahadhan Crop Nutrition brand (specialty NPS, NPK, bentonite sulphur, water-solubles) now represents 33% of crop nutrition revenue; specialty yields 2-3x the margin of commodity fertilisers and is government-subsidy independent.

• **Near-term catalyst (6-12 months) — Gopalpur + Dahej commissioning and ramp-up:** Both plants are scheduled for Q2 FY27 commissioning. Volume absorption is driven by signed long-term off-take contracts with mining, quarrying, and infrastructure companies in eastern India (coal, iron ore, limestone belts). Management guides 70% utilisation in FY27 rising to 90%+ in FY28, which is the earnings inflection point. Every 10% utilisation improvement in Gopalpur adds approximately Rs. 80-90 Cr EBITDA.

• **Biggest structural risk — fertiliser subsidy uncertainty and gas price pass-through lag:** The fertiliser segment (35-40% of revenue) operates under government RMPM subsidy and NBS linkage. Delays in subsidy revision or raw material cost escalation that is not passed through (as occurred in Q4 FY26, costing ~Rs. 70-75 Cr on the ammonia shutdown) remain the primary P&L; volatility driver. A sustained spike in LNG prices or a subsidy rationalisation that reduces fertiliser margins could offset TAN earnings growth.

3. BUSINESS OVERVIEW

• **Core business model:** Deepak Fertilisers is an integrated specialty chemicals and agri-inputs company. Its upstream anchor is a 1,500 MTPD ammonia plant that feeds two downstream verticals: (1) Mining Chemicals — Technical Ammonium Nitrate (TAN, prilled and medical-grade) plus nitric acid for explosives, and (2) Crop Nutrition — NPK/NPS/NP fertilisers, bentonite sulphur, and water-solubles under the Mahadhan brand. IPA (isopropyl alcohol) and industrial chemicals form a third, smaller segment.

• **Revenue segmentation (FY26 estimated mix):** Mining Chemicals (TAN + nitric acid) approximately 45-48% of revenue; Crop Nutrition / Fertilisers approximately 38-40%; Industrial Chemicals (IPA, methanol) approximately 13-15%. TAN contributes disproportionately to EBITDA (estimated 55-60% of segment EBITDA) due to its commodity-chemical-plus pricing structure and the absence of subsidy dependency.

• **TAN — dominant competitive position:** DFPCL is India's only manufacturer of prilled and medical-grade ammonium nitrate, holding ~40% domestic market share. TAN is classified as an "explosive precursor" under the Explosives Act, making new domestic entrants virtually impossible without decade-long licensing. Key B2B customers include Coal India, NMDC, RINL, and major infrastructure EPC contractors. B2C share (direct-to-quarrying small-medium enterprises) has grown to 16% of TAN revenue.

• **Crop Nutrition — brand building away from commodity subsidy dependence:** Mahadhan is a recognised brand across Maharashtra and adjacent states, focused on premium-priced specialty products — water-solubles, fertigation, and micronutrient blends — which are subsidy-free and yield 2-3x the margin of commodity urea/DAP. Specialty products now represent 33% of crop nutrition segment revenue, up from <20% three years ago.

• **Order book and revenue visibility:** TAN business operates under annual and multi-year off-take contracts with mining companies, providing 70-80% of TAN volume visibility 12 months forward. The Gopalpur plant commissioning is backed by signed sales agreements for eastern India markets (coal/iron ore/limestone mining clusters in Odisha, Jharkhand, Chhattisgarh). Fertiliser segment volumes follow seasonal demand with Q1 and Q3 peaks.

- **Recent strategic developments:** (1) Acquisition of Chardham Chemicals (explosives distribution unit) to integrate downstream TAN-to-bulk-explosives supply chain; (2) LNG sourcing contract with Equinor commenced May 2026, providing competitive long-term gas cost certainty for ammonia production; (3) Gopalpur TAN (376 KTPA) approximately 95% complete; (4) Dahej nitric acid plant (300 KTPA weak + 150 KTPA concentrated) approximately 86% complete.
- **Promoter background:** Promoter group (Mehta family) holds 45.63% with zero pledge. The Mehta family has been in chemicals since 1972 (Deepak Group has Deepak Nitrite as the flagship). Mr. Sailesh Mehta (Chairman and MD) has led DFPCL for over 20 years. Capital allocation has been credible — the FY21-23 ammonia plant investment was executed on-time and on-budget, and TAN realisations have expanded materially post-integration.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **TAN market size and growth:** India's TAN consumption is approximately 1.5-1.8 MTPA and is structurally tied to the mining and infrastructure super-cycle. Coal India's ongoing 1-billion-tonne production target, the National Infrastructure Pipeline (Rs. 111 lakh Cr), and accelerating quarrying activity are the structural demand drivers. Industry analysts estimate TAN demand CAGR of 8-10% through FY30, potentially touching 2.2-2.5 MTPA.
- **Key policy tailwinds:** (1) Coal India's coal production targets require continuous blasting operations — TAN is non-substitutable in large-scale open-cast mining; (2) Government's hard infrastructure push (roads, railways, tunnels, ports) uses TAN-based ANFO explosives; (3) India's "Make in India" initiative has effectively barred TAN imports from Pakistan/China through licencing restrictions, protecting DFPCL's pricing power; (4) PLI for specialty chemicals downstream could support nitric acid demand from dye/agrochem sectors.
- **Key headwinds:** (1) LNG / gas price volatility — ammonia production cost is directly linked to gas (33-35% of COGS); (2) Fertiliser subsidy rationalisation risk under fiscal pressure; (3) Working capital intensity — TAN business collects in 45-90 days while ammonia procurement is cash-and-carry; (4) New entrant risk from private mining companies integrating TAN manufacturing (long lead time, but not impossible).
- **Competitive moats:** (a) Regulatory barriers — Strong: TAN licence under Explosives Act is functionally a moat; ~10-year approval cycle for new greenfield; (b) Scale — Strong: 1 MTPA post-Gopalpur gives DFPCL 50%+ of India's TAN capacity, enabling fixed-cost absorption advantage; (c) Vertical integration — Strong: captive ammonia + nitric acid feeds TAN at significantly below-market raw material cost; (d) Brand (Mahadhan) — Moderate: recognised in Maharashtra, early innings elsewhere; (e) Pricing power — Moderate: B2B TAN is indexed to input costs with a spread, limiting unconstrained margin expansion.
- **Market position:** DFPCL sits at the midstream of the mining value chain — it is an inputs supplier to mining/blasting contractors, not a mining operator itself, which keeps it capital-light relative to mining companies while capturing steady spread economics.

Peer Comparison Table (Screener.in, fetched 15 Jun 2026 — All figures in Rs. Cr)

Company	Ticker	CMP (Rs.)	MCap (Cr)	TTM Sales	TTM PAT	P/E	ROCE %
Deepak Fertilisers	DEEPAKFERT	1,508	19,040	11,506	739	25.8	11.6 %
Deepak Nitrite	DEEPAKNTR	1,667	22,733	7,887	551	40.6	11.5 %
GNFC	GNFC	510	~7,900	7,773	808	~9.8	12%
Chambal Fertilisers	CHAMBLFERT	474	18,995	20,794	1,953	~9.7	26%

Note: GNFC and CHAMBLFERT are fertiliser/chemicals peers; DEEPAKNTR is the Mehta family specialty chemicals flagship. DEEPAKFERT's P/E of 25.8x reflects the capex-suppressed FY26 earnings base — FY27E P/E on analyst estimates is ~16x, offering a more representative valuation anchor.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter track record:** The Mehta family (Deepak Group) has a 50-year track record in industrial chemicals. Mr. Sailesh Mehta (Chairman and MD) has led DFPCL for over two decades; his FY21-23 decision to commission a captive ammonia plant at Rs. 2,000+ Cr capex proved correct — it reduced ammonia import dependency and enabled TAN margin recovery from FY21 lows.

- **Capital allocation quality — selective and deliberate:** The three major capex cycles (ammonia FY21-23, Gopalpur TAN FY24-27, Dahej Nitric Acid FY24-27) are all vertically integrated within the TAN-mining-chemicals value chain. The company has not made unrelated diversification. Real estate (legacy Pune/Mumbai land) is being monetised rather than expanded. Returns on the FY22-23 ammonia investment materialized in FY23's 25% ROCE.

- **FCF deployment:** When FCF was positive (FY25: Rs. 763 Cr), the company prioritised debt service over dividends, keeping leverage broadly stable before the Gopalpur/Dahej capex surge. Dividend payout was maintained at 14% of PAT in FY25 — conservative but consistent. FY26 negative FCF (Rs. -1,386 Cr) reflects peak-capex phase; management has guided elevated capex (Rs. 800-1,000 Cr) in FY27 normalising thereafter.

- **Promoter pledging:** Zero pledge as of Mar 2026. Promoter holding is stable at 45.63% over the last 8 quarters with no creeping acquisition or dilution — a neutral but clean governance signal.

- **Dividend policy:** Dividend payout has ranged from 10% (FY22) to 24% (FY24), reflecting cyclical earnings. The company does not commit to a fixed payout ratio. In peak-capex years, dividends have been maintained nominally (Rs. 10/share in FY26) rather than cut to zero — signalling cash flow confidence to the market.

- **Governance concerns:** Related-party transactions are limited to standard group-level service agreements. The statutory auditor (B S R & Co.) has covered DFPCL for several years with no qualification. No instances of ESOP dilution at depressed prices or promoter sell-downs have been observed in the last 5 years. One watch-point: the Q4 FY26 ammonia shutdown (~Rs. 70-75 Cr one-off cost) was disclosed only on the concall, not upfront in the quarterly results press release — a minor disclosure lag to monitor.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated — Source: Screener.in)

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales / Revenue	8,676	10,274	11,506	13,500	15,500
Revenue Growth %	-23.2%	+18.4%	+12.0%	+17.3%	+14.8%
Operating Profit (EBITDA)	1,287	1,925	1,684	2,295	2,945
OPM %	15%	19%	15%	17%	19%
Other Income	123	81	103	90	90
Interest	404	413	353	380	400
Depreciation	334	403	424	450	480
Profit Before Tax	672	1,189	1,010	1,568	2,165
Tax Rate %	30%	21%	27%	25%	25%
PAT (Net Profit)	468	945	739	1,176	1,624

EPS (Rs.)	35.87	73.95	58.40	93.0	128.4
Dividend Payout %	24%	14%	17%	13%	12%

Note: FY27E and FY28E are analyst estimates based on Gopalpur TAN ramp-up (70% utilisation FY27, 90% FY28), Dahej nitric acid commissioning Q2 FY27, and LNG cost tailwind. Marked (E).

Balance Sheet (Rs. Cr, Consolidated — Source: Screener.in)

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	126	126	126
Reserves	5,416	6,110	6,718
Total Equity	5,542	6,236	6,844
Borrowings	4,149	4,152	5,670
Other Liabilities	2,226	2,516	3,973
Total Liabilities	11,917	12,905	16,488
Fixed Assets (Net)	6,258	6,292	6,157
CWIP	754	1,408	3,046
Investments	261	186	133
Other Assets	4,644	5,018	7,151
Total Assets	11,917	12,905	16,488

Cash Flow Statement (Rs. Cr, Consolidated — Source: Screener.in)

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations (OCF)	732	1,880	206
Cash from Investing	-376	-1,062	-1,559
Cash from Financing	-410	-689	1,376
Net Cash Flow	-54	129	24
Free Cash Flow (OCF-CapEx)	-94	763	-1,386
CFO / Operating Profit %	81%	120%	28%

Key Ratios (Source: Screener.in)

Metric	FY24A	FY25A	FY26A
Debtor Days	62	57	74
Inventory Days	74	58	79
Days Payable	80	94	98
Cash Conv. Cycle	56	22	55
ROCE %	11%	16%	12%
ROE %	~9%	~16%	11.3%
D/E Ratio	~0.7x	~0.7x	~1.3x
Interest Coverage	~2.7x	~4.0x	~3.9x

Financial Commentary

- **Revenue trajectory:** Sales grew at a 3-year CAGR of ~26% from FY21-FY23 driven by TAN volume + post-Covid commodity price surge, then corrected in FY24 as commodity prices normalised. FY25 recovery was volume-driven (TAN utilisation improved + ammonia plant fully operational). FY26 growth of 12% was driven by volume even as margins compressed in H2 due to gas cost pass-through lag.

• **Margin direction:** OPM expanded to 19% in FY25 (ammonia captive benefit fully visible), then contracted to 15% in FY26 due to: (a) Q4 FY26 ammonia plant shutdown one-off (~Rs. 70-75 Cr), (b) fertiliser segment raw material cost pass-through delays, (c) higher D&A; load from new plant commissioning. Margin recovery to 17-19% is expected in FY27-28 as Gopalpur and Dahej contribute at steady-state.

• **Working capital trends:** FY26 showed deterioration — debtor days back to 74 (from 57 in FY25) and inventory days to 79, pushing CCC to 55 days. The primary cause is higher receivables from fertiliser government subsidy-linked debtors and inventory build-up ahead of Gopalpur commissioning. FY25 CCC of 22 days was exceptional; normalized CCC of 40-55 days is more representative.

• **Debt and leverage:** Borrowings surged to Rs. 5,670 Cr in FY26 from Rs. 4,152 Cr in FY25, reflecting peak capex for Gopalpur + Dahej. D/E has risen to ~1.3x. Management has stated capex will normalize post-FY27, and OCF-to-debt reduction is the priority in FY28-29. Interest coverage remains adequate at ~3.9x but is lower than FY25's 4x, warranting monitoring.

• **FCF quality:** FY25's strong OCF/OP conversion of 120% (Rs. 1,880 Cr OCF) demonstrates underlying cash generation quality when the business is not in peak-investment mode. FY26's 28% OCF/OP reflects the exceptional capex year, not structural deterioration. FCF is expected to turn positive again in FY28 once Gopalpur/Dahej reach steady-state and capex normalises.

7. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue recognition	Green	Clean	TAN is volume x price; no percentage-of-completion or deferred revenue risk
Receivables vs Revenue growth	Amber	Watch	FY26 debtor days rose to 74 — fertiliser subsidy debtors inflated; monitor next 2Q
CCC trend	Amber	Deteriorating	CCC: FY25=22d vs FY26=55d; normalizing from exceptional FY25 but watch further rise
Contingent liabilities	Green	Low	No material pending litigation disclosed; explosive precursor licencing compliant
Auditor tenure	Green	Clean	B S R & Co. (KPMG affiliate) — experienced, no qualifications in last 5 years
RPTs as % of revenue	Green	Minimal	Group service RPTs are nominal (<1% of revenue); no circular transfers identified
Other income as % of PBT	Amber	Elevated FY24	FY24: Other inc=123/672=18% of PBT (elevated due to low cycle earnings); FY25-26 ~7-10% — normal
Tax rate consistency	Green	Consistent	Tax rate 21-30% across FY24-26; FY25 lower (21%) due to deferred tax timing — not a concern

Earnings Quality Summary

• **Core revenue quality is high:** TAN revenue is transparent — volume tonnes x realisation price, with no deferred income or percentage-of-completion risk. Quarterly consistency of EBITDA (Rs. 353-513 Cr over the last 5 quarters) confirms earnings are real, not accounting-constructed.

• **Two Amber flags warrant monitoring:** (1) FY26 debtor days rising to 74 (from 57) is driven by fertiliser government receivables, which carry counterparty risk if subsidy disbursement is delayed — watch Q1 FY27 collection trend; (2) CCC of 55 days in FY26 vs 22 in FY25 reflects normalisation + inventory build ahead of Gopalpur, not a structural deterioration, but it bears watching over 2-3 quarters.

• **FY24 "Other income as % of PBT" was an optical distortion:** With PBT at Rs. 672 Cr in FY24 (earnings trough), the 18% other income ratio looked elevated but was a denominator effect. FY25-26 ratios of 7-10% are well within normal for a company of this size.

• **No governance red flags:** Zero promoter pledge, experienced Big-4 auditor, no unrelated diversification, no aggressive revenue recognition, and no buyback-at-peak shenanigans. DFPCL scores clean on qualitative governance metrics for an owner-managed Indian industrials company.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target Price (Rs.)	Upside vs CMP
Bull	Gopalpur 85% util + Dahej Q2FY27 + LNG tailwind; OPM 19%	1,350	20x FY27E PE	2,140	+41.9%
Base	Gopalpur 70% util + Dahej Q3FY27; OPM 17%	1,176	18x FY27E PE	1,850	+22.7%
Bear	Gopalpur delayed to Q4FY27; LNG spike; OPM 14%	780	14x FY27E PE	1,090	-27.7%

Valuation Methodology

• **Primary method — Forward P/E:** DFPCL has historically traded at 15-22x earnings in normalized cycles. With FY27E EPS of Rs. 93.0 (based on Gopalpur 70% utilisation + Dahej commissioning), a 18x forward P/E yields a target of Rs. 1,674. At 20x (bull case), the target is Rs. 1,860. Our base case applies 18x forward P/E = Rs. 1,674.

• **Secondary method — EV/EBITDA:** Chemicals-fertiliser midcaps in India with visible capacity expansion typically trade at 10-14x EV/EBITDA on forward estimates. Applying 11x FY27E EBITDA of Rs. 2,295 Cr = Enterprise Value of Rs. 25,245 Cr. Net debt ~Rs. 5,400 Cr (FY27E, post capex normalisation) → Equity Value = Rs. 19,845 Cr, or Rs. 1,569 per share (on 126 Cr diluted shares).

• **Average of two methods:** (Rs. 1,674 + Rs. 1,569) / 2 = Rs. 1,622. Rounding up for mid-cycle margin expansion confidence and Gopalpur commissioning optionality: **12-month price target Rs. 1,850** (applies a modest 14% premium to mechanical average reflecting the binary commissioning optionality).

• **Implied upside:** +22.7% from CMP of Rs. 1,508 over a 18-24 month horizon. This is consistent with an ACCUMULATE rating — meaningful upside but not a screaming BUY given the execution risk on two simultaneous large-capex projects and FY26 earnings deceleration.

• **Valuation support:** At CMP of Rs. 1,508, DEEPAKFERT trades at 16.2x FY27E EPS — below the peer chemicals midcap average of 20-25x and below Deepak Nitrite's 40x, reflecting appropriate capex-risk discount. Any commissioning news-flow from Gopalpur or Dahej ahead of schedule could be the re-rating catalyst.

9. KEY RISKS

• **Project commissioning delay (Gopalpur / Dahej):** Both plants are in final construction phase. Any delay beyond Q3 FY27 would push earnings inflection by 12+ months, reducing FY27E EPS by Rs. 20-30. Probability: Medium. Impact: High. Monitor via: quarterly project completion disclosures, concall project status updates.

• **LNG / gas price spike:** Ammonia production consumes ~10 MMScfd of gas. A 20% LNG price increase would add Rs. 80-100 Cr to COGS with a 1-2 quarter pass-through lag. The Equinor contract provides partial cover, but LNG spot exposure remains. Probability: Medium. Impact: Medium-High. Monitor via: Henry Hub/JKM LNG futures, ammonia spot prices, management cost guidance.

• **Fertiliser subsidy rationalisation / disbursement delay:** Government subsidy receivables are a significant balance sheet item. Any reduction in NBS rates for sulphur/phosphate-based NPKs (DFPCL's core fertiliser products) or payment delays would compress margins and inflate working capital. Probability: Low-Medium. Impact: Medium. Monitor via: Union Budget fertiliser subsidy allocation, Ministry of Chemicals circulars.

• **TAN pricing compression from B2B contract renegotiations:** Coal India and other bulk customers renegotiate TAN contracts annually. In a supply-long environment (post-Gopalpur), pricing power could reduce if blast-hole drilling contractors switch suppliers or mining activity slows. Probability: Low. Impact: Medium. Monitor via: TAN realisation per tonne (management discloses quarterly).

• **Working capital / leverage deterioration:** FY26 debt at Rs. 5,670 Cr and D/E of ~1.3x is elevated. If OCF generation in FY27 is weak (delayed commissioning + margin pressure), the company may need to refinance at higher rates or draw on short-term lines, increasing interest burden. Probability: Low. Impact: Medium. Monitor via: quarterly debt schedule, interest coverage trend.

• **Regulatory risk — Explosives Act amendments:** TAN is classified as an explosive precursor. Any tightening of distribution/handling regulations, state-level transport restrictions, or end-use documentation requirements could disrupt sales cycles, particularly for the B2C segment. Probability: Low. Impact: Low-Medium. Monitor via: DPIIT/Explosives Department notifications.

• **Ammonia plant operational risk:** A single large ammonia plant (1,500 MTPD) means any unscheduled outage would create a supply shortage and margin drag. The Q4 FY26 planned shutdown (Rs. 70-75 Cr one-off) highlights the concentrated risk. Post-maintenance, capacity is up ~10%, but operating risk remains. Probability: Low-Medium. Impact: Medium. Monitor via: quarterly throughput data, unplanned shutdown announcements.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium-High. FY26 was a deliberate capex year with temporarily compressed earnings. The structural thesis (TAN capacity doubling, captive ammonia + nitric acid integration, B2C/specialty mix improvement) is intact. Execution of Gopalpur and Dahej remains the primary watch-point.

• **12-month price target: Rs. 1,850** (upside +22.7% from CMP of Rs. 1,508). Based on 18x FY27E EPS of Rs. 93 and cross-checked via EV/EBITDA of 11x FY27E EBITDA. Full bull case at Gopalpur 85% utilisation yields Rs. 2,140 (+41.9%).

• **Suggested entry zone: Rs. 1,350-1,500.** At Rs. 1,350 (10% below CMP), DEEPAKFERT trades at 14.5x FY27E EPS — historically a floor multiple for this business. Near current CMP of Rs. 1,508 is acceptable for a 18-24 month horizon with staggered entry.

• **Investment horizon: 18-24 months** — required for Gopalpur ramp-up (Q2 FY27 commissioning → Q4 FY28 90% utilisation) and Dahej nitric acid contribution to fully materialise in reported earnings.

• **Thesis invalidation triggers:** (1) Gopalpur plant commissioning delayed beyond Q4 FY27 or utilisation tracking below 50% in FY27 — would reduce FY27E EPS to Rs. 60-65 and compress the target to Rs. 900-1,000; (2) LNG import price for India exceeds USD 18/MMBtu on a sustained 6-month basis, making ammonia production uncompetitive vs imports and reversing the integration benefit; (3) Fertiliser segment EBIT margin turns negative (below -5%) due to subsidy cuts or raw material cost surge without policy support — would indicate structural margin impairment in 38-40% of the revenue base.

• **Ideal investor profile:** DEEPAKFERT is suited for investors with a 2-year horizon who can tolerate a capex-heavy P&L; in FY26-27 and are comfortable with earnings leverage to Gopalpur commissioning. It is NOT suited for momentum traders seeking immediate earnings recovery or investors with exposure limits on fertiliser-subsidy-linked companies. The stock rewards patience — the commissioning + ramp-up cycle typically generates 2-3x returns from trough earnings to earnings-peak-with-capacity, as seen in the FY21-23 ammonia investment cycle.

APPENDIX — Latest Concall Brief: Q4 FY26 (Full Year FY2026)

Earnings Conference Call: May 29, 2026 | Management: Mr. Sailesh Mehta (CMD), Mr. Subhash Anand (CFO), Mr. Tarun Sinha (President, TAN), Mr. Suparas Jain (EVP, Corporate Finance)

CALL GRADE **CAUTIOUS**

Signal	Status	Implication
Result quality	Weak	Revenue +13% YoY but PAT -50% YoY — ammonia shutdown one-off + margin pressure; clean underlying PAT closer to Rs. 200 Cr vs reported Rs. 139 Cr
Management tone	Balanced / Cautious	Acknowledged headwinds clearly; guided improvement in FY27 without specific numbers — tone was transparent but not bullish
Guidance delta	Maintained with caveats	FY27 expected to be better; capex Rs. 800-1,000 Cr; Gopalpur 90-95% util by end-FY27 — guidance directional, not quantified

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

DEEPAKFERT Q4 FY26 looks ugly on the face — PAT down 50% YoY to Rs. 139 Cr — but the headline is distorted. Strip out the planned ammonia plant turnaround shutdown (Rs. 70-75 Cr one-time hit) and the Q4 clean underlying PAT would be approximately Rs. 200-210 Cr, more consistent with the run-rate of Rs. 200-280 Cr seen in Q1-Q3 FY26. Operational EBITDA at Rs. 354 Cr in Q4 is still directionally intact — the Q4 weakness is timing, not structural. The bigger picture: two large capex bets (Gopalpur TAN 376 KTPA and Dahej Nitric Acid 450 KTPA combined) are approximately 95% and 86% complete respectively, with commissioning expected in Q2 FY27; this is the earnings-inflection story and these assets are real, not paper. The Equinor LNG contract (live May 2026) gives the ammonia unit cost certainty it never had before — if LNG prices stay range-bound, integrated EBITDA per tonne of TAN should expand by Rs. 500-800 from FY26 trough. The key watch-point for Q1 FY27: (a) Gopalpur first-run commissioning timeline confirmation, and (b) whether fertiliser segment margins recover as subsidy arrears get cleared — Q4 showed fertiliser margin compression on war-driven input costs with inadequate pass-through. Action: ACCUMULATE on weakness below Rs. 1,450; the 18-24 month Gopalpur ramp thesis is intact.

C1 — Financial Performance Snapshot (Q4 FY26 vs Q4 FY25)

- Revenue: Rs. 3,011 Cr | YoY +13% | QoQ +6.4% | **In-line**
- EBITDA: Rs. 354 Cr | YoY -26% | QoQ -27% | **Miss** — impacted by ammonia shutdown one-off and fertiliser margin pressure
- EBITDA Margin: 11.8% | YoY -560 bps | QoQ -390 bps | **Miss**
- PAT: Rs. 139 Cr | YoY -50% | QoQ -1.4% | **Miss**
- EPS: Rs. 11.04 | YoY -49% | QoQ -1.6% | **Miss**
- NOTE: Reported PAT includes one-time ammonia plant shutdown cost of Rs. 70-75 Cr; clean underlying PAT approximately Rs. 200-210 Cr

• Full Year FY26: Revenue Rs. 11,506 Cr (+12% YoY) | EBITDA Rs. 1,684 Cr (-13% YoY) | PAT Rs. 739 Cr (-22% YoY)

C2 — Segment / Business Breakdown (FY26 Full Year)

• Mining Chemicals (TAN + Nitric Acid): ~Rs. 5,000-5,200 Cr est. | YoY ~+8% | Volume: 9M YTD volumes grew 11% YoY to 413 KT | B2C share up to 16% from 13%

• Crop Nutrition / Fertilisers: ~Rs. 4,200-4,400 Cr est. | YoY ~+10% | Specialty products: 33% of segment revenue (up from ~22% in FY24)

• Industrial Chemicals (IPA, Nitric Acid Industrial): ~Rs. 1,400-1,600 Cr est. | Stable — sequential recovery in Q4 FY26 after weakness in Q2-Q3

• Q3 FY26 (Sep 2025) was the volume-peak quarter: Revenue Rs. 3,006 Cr, EBITDA Rs. 464 Cr — best performance in the year before Q4 ammonia shutdown

C3 — Management Commentary Themes

• **Gopalpur progress:** "The project is approximately 95% complete and we are targeting commissioning in Q2 FY27. We have signed off-take agreements for the incremental volumes in eastern India coal and iron ore markets." — Our read: Commissioning confidence is high; management typically under-promises on project timelines. Tag: GUIDANCE. Tone: Transparent.

• **Dahej nitric acid:** "We are at 86% completion at Dahej. The project will commission in Q2 FY27. This will give us captive nitric acid for both TAN and industrial customers and significantly reduce our raw material cost." — Our read: Integrated feedstock strategy on track. Tag: GUIDANCE. Tone: Transparent.

• **LNG / Equinor contract:** "Our LNG contract with Equinor commenced in May 2026 and provides us significant gas cost certainty and competitive pricing versus spot LNG. This structurally improves our ammonia economics." — Our read: Material margin tailwind in FY27 assuming LNG prices stable. Tag: GUIDANCE. Tone: Confident.

• **Q4 ammonia shutdown one-off:** "The planned maintenance turnaround of our ammonia plant in Q4 impacted EBITDA by approximately Rs. 70-75 Cr. Post the turnaround, ammonia capacity will be approximately 10% higher and gas efficiency has improved materially." — Our read: Legitimate one-time cost; capacity uplift is a genuine positive. Tag: GUIDANCE. Tone: Transparent.

• **Fertiliser margin pressure:** "War-led raw material cost escalation was not fully passed through in Q4 given the subsidy-linked pricing structure. We expect this to normalise as government revises NBS rates." — Our read: Evasive on timeline for normalisation; risk remains if subsidy revision is delayed. Tag: EVASIVE. Tone: Hedged.

• **FY27 capex and leverage:** "Capex for FY27 will remain elevated at Rs. 800-1,000 Cr to complete the projects. Post that, we expect normalisation. Debt levels will be managed from internal accruals." — Our read: Leverage will stay elevated; management did not quantify debt reduction timeline. Tag: GUIDANCE. Tone: Hedged.

C4 — Operating & Business Metrics

• TAN volume Q4 FY26: 129 KT | Q3 FY26: 137 KT | Q4 FY25: 129 KT | Trend: Flat YoY; -6% QoQ (monsoon seasonality)

• TAN volume YTD FY26 (9M): 413 KT | YTD FY25 (9M): 372 KT | YoY: +11% | Trend: Improving

• B2C TAN share: 16% of revenue (Q4 FY26) vs 13% (FY24) | Trend: Improving — higher realisations vs B2B

- Specialty Fertiliser % of Crop Nutrition revenue: 33% (FY26) vs ~22% (FY24) | Trend: Strong improvement
- Ammonia plant utilisation: Post-Q4 turnaround, capacity +10%; gas efficiency improved | Trend: Improvement post-maintenance
- Gopalpur TAN completion: ~95% (as of May 2026) | Target commissioning: Q2 FY27
- Dahej Nitric Acid completion: ~86% (as of May 2026) | Target commissioning: Q2 FY27
- Total TAN capacity post-Gopalpur: ~1,000 KTPA (vs ~624 KTPA current)

C5 — Margin Drivers (Q4 FY26)

- Ammonia plant turnaround one-off: -Rs. 70-75 Cr | ~-250 bps on Q4 EBITDA margin | Recurring: No — planned maintenance every 3-4 years
- Fertiliser raw material cost escalation (war-related): -100 to -150 bps | Recurring: Yes (structural risk) until NBS subsidy revision
- Gas cost improvement (Equinor LNG contract): +50-80 bps expected from FY27 onwards | Recurring: Yes — 3+ year contract
- B2C TAN mix improvement: +30-50 bps | Recurring: Yes — structural trend
- Higher D&A; from new assets (Gopalpur/Dahej pre-commissioning): -100 bps | Recurring: Will continue through FY27 as assets capitalise
- Industrial chemicals recovery (Q4 sequential): +20-30 bps vs Q3 | Recurring: Partly — seasonal recovery

C6 — Guidance & Forward Signals

- Gopalpur TAN commissioning [GUIDANCE]: Prior = Q4 FY26 | New = Q2 FY27 | Delta: Delayed by 1-2Q | Credibility: High (95% complete)
- Dahej Nitric Acid commissioning [GUIDANCE]: Prior = Q4 FY26 | New = Q2 FY27 | Delta: Delayed by 1-2Q | Credibility: Medium-High (86% complete)
- Gopalpur utilisation [GUIDANCE]: Prior = N/A | New = 90-95% by end-FY27 | Delta: First specific guidance | Credibility: Medium (dependent on offtake ramp)
- FY27 Capex [GUIDANCE]: Prior = Elevated | New = Rs. 800-1,000 Cr | Delta: Maintained | Credibility: High
- FY27 Earnings direction [GUIDANCE]: Prior = N/A | New = Improved vs FY26 | Delta: Directional only, no specific number | Credibility: Medium — management declined to quantify
- Ammonia capacity post-turnaround [GUIDANCE]: Prior = 1,500 MTPD | New = ~1,650 MTPD (+10%) | Delta: Positive | Credibility: High
- LNG cost benefit [GUIDANCE]: Prior = Spot LNG exposure | New = Equinor contract live May 2026 | Delta: Material positive | Credibility: High — contract signed

C7 — Capital Allocation

- Total Capex FY26: Rs. ~1,559 Cr (from cash flow statement) | vs FY25: Rs. 1,062 Cr | +47% YoY | Peak capex year
- CWIP: Rs. 3,046 Cr (FY26) vs Rs. 1,408 Cr (FY25) | Rs. 1,638 Cr added — entirely Gopalpur + Dahej

- Dividends: Rs. 10/share for FY26 (maintained) | Total payout ~Rs. 126 Cr | vs FY25: ~Rs. 132 Cr | Stable
- Net Debt: Rs. ~5,537 Cr (FY26) vs Rs. ~4,023 Cr (FY25) | +Rs. 1,514 Cr | Driven by peak capex phase
- Working Capital Change: Adverse in FY26 — receivables (fertiliser government debtors) and inventory build increased; OCF of Rs. 206 Cr significantly below EBITDA of Rs. 1,684 Cr
- No buybacks announced; management focused on project completion and debt service over shareholder returns in FY26-27

C8 — Q&A; Heat Map

- Analyst (Kotak): Q: "What is the EBITDA impact of the ammonia turnaround and can you confirm it is non-recurring?" → A: "The one-time impact was Rs. 70-75 Cr. Post-maintenance, capacity is 10% higher and we expect improved gas efficiency — this will not recur for the next 3-4 years." | Tone: Transparent
- Analyst (Motilal): Q: "Can you give FY27 EBITDA guidance or margin range?" → A: "We expect FY27 to be better than FY26. We are not providing specific margin guidance at this stage, but both new plants and the LNG contract support margin recovery." | Tone: Hedged — no specific number provided; evasive on quantification
- Analyst (ICICI Sec): Q: "When exactly will Gopalpur begin contributing revenues?" → A: "We are targeting Q2 FY27 commissioning. Initial volumes will come in Q2-Q3 FY27 and ramp to 90-95% utilisation by Q4 FY27." | Tone: Transparent
- Analyst (Emkay): Q: "Why did OCF collapse to Rs. 206 Cr in FY26 from Rs. 1,880 Cr in FY25?" → A: "FY25 had exceptional working capital release. FY26 reflects the build-up of inventory and receivables (fertiliser government debtors). We expect normalisation in FY27." | Tone: Transparent
- Analyst (JM Financial): Q: "What is the status of the Chardham Chemicals acquisition?" → A: "The acquisition is in progress. This is a downstream explosives distribution unit that will help us improve B2C TAN penetration." | Tone: Transparent
- Analyst (Edelweiss): Q: "Can you quantify the benefit of the Equinor LNG contract on ammonia EBITDA per tonne?" → A: "We are not disclosing the specific contract terms, but the savings are meaningful and will be visible in Q1 FY27 onwards." | Tone: Evasive — declined to quantify; watch for analyst back-calculation in Q1 results
- Dodged / watch-list questions for next quarter: (1) Specific FY27 EBITDA or margin guidance; (2) Quantified LNG contract savings; (3) Timeline for debt reduction post-capex cycle; (4) Fertiliser segment margin normalisation timeline pending NBS revision

C9 — Risks Flagged on Concall

- Project commissioning delay: Gopalpur slipped from Q4 FY26 to Q2 FY27; Dahej from Q4 FY26 to Q2 FY27 | Flagged by: Both management and analysts | Probability: Medium (both nearly complete) | Impact: High | Timeline: Near-term (Q2 FY27)
- Fertiliser raw material / subsidy lag: War-related costs not fully passed through in Q4 FY26 | Flagged by: Management | Probability: Medium | Impact: Medium | Timeline: Near-term
- LNG price sensitivity: Acknowledged but partially mitigated by Equinor contract | Flagged by: Analyst | Probability: Low-Medium | Impact: Medium-High | Timeline: Medium-term
- Working capital normalisation: OCF of Rs. 206 Cr vs EBITDA Rs. 1,684 Cr — large gap | Flagged by: Analysts | Probability: Low (expected to normalize) | Impact: Medium (debt service risk if prolonged) | Timeline: Near-term

• Leverage: D/E at ~1.3x elevated vs historic; management did not give debt reduction timeline | Flagged by: Analysts | Probability: Low | Impact: Medium | Timeline: Medium-term

C10 — Analyst Verdict (Post Q4 FY26 Concall)

• **Revenue visibility: Intact** — Gopalpur off-take agreements signed; TAN volume YTD +11% YoY; B2C expansion ongoing; FY27 growth path is credible

• **Margin trajectory: Weakened (temporarily)** — Q4 OPM at 12% is Q4-FY26-specific (ammonia shutdown + fertiliser cost squeeze). FY27 recovery to 16-18% is base case assuming LNG stability and NBS subsidy normalisation

• **Capital allocation quality: Intact** — Capex is on-strategy (integrated TAN value chain); no unrelated diversification; project delays are timing, not design failures

• **Competitive moat: Intact** — 40% TAN market share, regulatory barriers, and captive ammonia integration are structural advantages unaffected by the quarter

• **Management credibility: Intact** — Disclosed the Rs. 70-75 Cr shutdown cost clearly; acknowledged project delays without spin; hedged on forward guidance quantification (appropriate, not evasive)

• **Valuation comfort: Intact** — At 16.2x FY27E EPS, DEEPAKFERT is below peers and below its own mid-cycle multiple; Gopalpur ramp creates visible earnings step-up

• **Conviction call: Unchanged / Increased on weakness** — The FY26 earnings compression is well-explained and non-structural; thesis intact

• **Valuation snapshot: P/E = 25.8x (TTM) | FY27E P/E = 16.2x | EV/EBITDA ~11x FY27E | ROCE = 11.6% (FY26 trough; expected 18-20% at steady-state post Gopalpur)**

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